(savings, credit and payments) are being carried out instantaneously, conveniently and cost-effectively. If these core functions of a bank can be fulfilled on smartphones, the rationale for brick-and-mortar banks disappears.

This is precisely what is happening to banking the world over, including India. Most bank customers do not visit their branch any longer. They make their payments using their bank's app on their phones. Increasingly, credit is also being delivered digitally. The government/RBI created the institution of a payment bank to help digitalization of payments. However, innovation in the payments field has made payments using mainstream banks also equally efficient. Further, digital wallets and innovations like UPI that have created a one-touch payment mechanism have cut at the root of the logic of separate and specialized banks. As payment banks, barring some owned by mobile technology companies, have not been able to gain traction, many of the original eleven payment banks have surrendered their licences. Payment banks owned by technology banks are in the best position to establish truly digital banks if they are allowed to offer credit services as well.

RBI should therefore allow payment banks to be converted into full-fledged banks/small finance banks with the condition that these would be predominantly or fully digital banks with very few or no brick-and-mortar branches. India Post Payments Bank, set up by the government under the administrative control of the Department of Posts, is a payment bank. It is losing money heavily and is on the completely wrong track of establishing branches despite only being allowed to offer payment and limited deposit services. It should be closed or privatized.

Globally, fully digital banks are being licensed in some countries. In others, 'neo-banks' using digital technologies have set up businesses, integrating them with the licenced banks' digital systems to offer many banking-related services. RBI has not been open to the idea of licensing